

CUSTOMER CHURN ANALYSIS — BUSINESS RECOMMENDATIONS

Project: Telco Customer Retention Strategy

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EXECUTIVE SUMMARY

Our analysis of 7,043 telecom customers reveals a critical retention challenge: 26.54% of customers have churned, resulting in approximately ₹1.67 Million in annual recurring revenue at risk. Through customer segmentation, behavioral analysis, and predictive modeling, we have identified five high-impact retention strategies that could potentially reduce churn by 30-40% over the next 12 months.

KEY FINDINGS

1. Month-to-month contract customers churn at 42.7% — 15x higher than two-year contract customers (2.8%)
2. New customers (0-12 months tenure) churn at 47% — making the first year the most critical retention window
3. Fiber Optic users churn at 41.9% vs DSL at 19% — indicating service quality or pricing issues with the premium product
4. Customers without TechSupport churn 3x more than those with it
5. Electronic check users churn 45% vs other payment methods at 15-19%

RECOMMENDED STRATEGIES

STRATEGY 1: INCENTIVIZE LONG-TERM CONTRACTS

ISSUE: 42.7% of month-to-month customers churn vs only 2.8% on 2-year contracts.

RECOMMENDATION: Offer a 15% discount for customers upgrading from month-to-month to a 1-year contract, and 25% discount for 2-year contracts.

EXPECTED IMPACT:

- Convert 30% of month-to-month customers to longer contracts
- Reduce overall churn by 8-10 percentage points
- Estimated annual revenue retention: ₹4-5 Lakhs

IMPLEMENTATION COST: Low (marketing campaign + discount margin)

PRIORITY: HIGH ★★ ★

STRATEGY 2: LAUNCH "FIRST 90 DAYS" ONBOARDING PROGRAM

ISSUE: 47% of customers churn within their first 12 months.

RECOMMENDATION:

- Personalized onboarding calls in first 30 days
- Complimentary TechSupport for first 3 months
- Loyalty milestone rewards at 6 and 12 months
- Proactive check-ins by customer success team

EXPECTED IMPACT:

- Reduce first-year churn from 47% to 30-35%
- Increase customer lifetime value by 25%
- Estimated annual revenue retention: ₹3-4 Lakhs

IMPLEMENTATION COST: Medium (CS team expansion)

PRIORITY: HIGH ★★ ★

STRATEGY 3: AUDIT FIBER OPTIC SERVICE QUALITY

ISSUE: Fiber Optic customers churn at 41.9% — more than 2x the DSL rate.

RECOMMENDATION:

- Conduct customer surveys to identify Fiber pain points

- Review network reliability metrics in high-churn regions
- Consider price restructuring for Fiber tier
- Bundle premium support automatically for Fiber subscribers

EXPECTED IMPACT:

- Reduce Fiber churn from 41.9% to 25-30%
- Protect premium ARPU segment (high-value customers)
- Estimated annual revenue retention: ₹2-3 Lakhs

IMPLEMENTATION COST: High (operational review + infrastructure)

PRIORITY: HIGH ★★ ★

STRATEGY 4: PROMOTE AUTO-PAYMENT METHODS

ISSUE: Electronic check users churn 3x more than auto-pay users.

RECOMMENDATION:

- Offer ₹50 monthly discount for setting up auto-pay
- Make auto-pay the default during sign-up
- Send targeted campaigns to electronic check users

EXPECTED IMPACT:

- Migrate 40% of e-check users to auto-pay
- Reduce friction-related churn
- Estimated annual revenue retention: ₹1-2 Lakhs

IMPLEMENTATION COST: Low (digital campaign + discount)

PRIORITY: MEDIUM ★★

STRATEGY 5: BUNDLE TECH SUPPORT FOR AT-RISK CUSTOMERS

ISSUE: Customers without TechSupport churn 3x more than those with it.

RECOMMENDATION:

- Add complimentary TechSupport for all new customers (first 6 months)
- Offer existing customers free TechSupport for 3 months as a "thank you"
- Promote TechSupport as a "stickiness" service

EXPECTED IMPACT:

- Reduce churn by 5-7 percentage points
- Increase product attach rate
- Estimated annual revenue retention: ₹2-3 Lakhs

IMPLEMENTATION COST: Medium (TechSupport team capacity)

PRIORITY: MEDIUM ★ ★

PRIORITIZATION MATRIX

QUICK WINS (Implement first 90 days):

- ✓ Strategy 1: Contract incentives
- ✓ Strategy 4: Auto-payment promotion

STRATEGIC INVESTMENTS (3-6 months):

- ✓ Strategy 2: 90-day onboarding program
- ✓ Strategy 5: TechSupport bundling

OPERATIONAL OVERHAUL (6-12 months):

- ✓ Strategy 3: Fiber Optic quality audit

COMBINED EXPECTED IMPACT

- Overall churn reduction: 26.54% → 15-18%
- Customer Lifetime Value increase: 25-30%
- Annual revenue retained: ₹12-17 Lakhs
- ROI of intervention program: Estimated 4:1 within 12 months

PREDICTIVE MODEL DEPLOYMENT

A Logistic Regression model was developed (80% accuracy, 84% ROC-AUC) to

predict individual customer churn risk. Recommended deployment:

- Weekly scoring of entire customer database
- Customers scoring >60% probability trigger automated retention campaigns
- High-risk segment receives proactive intervention via Customer Success team

This enables a shift from reactive to PROACTIVE retention management.